

Multiple Choice (10 marks)

1. The characteristic roots of the MA process $y_t = -3u_{t-1} + u_{t-2} + u_t$ are
 - (a) 1 and 0.5
 - (b) 2 and 0.5
 - (c) -1 and -0.5
 - (d) -1 and 2
 - (e) 3 and -2
2. Give the importance of buffer stocks in the agricultural market model.
 - (a) Buffer stocks eliminate the need for agricultural subsidies.
 - (b) Buffer stocks result in price fluctuation.
 - (c) Buffer stocks ensure a constant decrease in the market price of crops.
 - (d) Buffer stocks provide unlimited income for farmers.
 - (e) Buffer stocks are primarily used to control the export of crops.
3. Which of the following could be used as a test for autocorrelation up to third order?
 - (a) The Dickey-Fuller test
 - (b) The Jarque-Bera test
 - (c) White's test
 - (d) The Augmented Dickey-Fuller test
 - (e) The Durbin Watson test
4. What is meant by the technically efficient method of production?
 - (a) A method that minimizes the time taken to produce a product
 - (b) A method that uses more of all inputs to increase output
 - (c) A method that produces the highest quantity of output
 - (d) A method that relies solely on the latest technology
 - (e) A method that achieves the fastest production speed regardless of resource usage
5. Suppose that current disposable income is 10000 and consumption spending is 8000. For every 100 increase in disposable income, saving increases 10. Given this information
 - (a) the marginal propensity to save is .80.
 - (b) the marginal propensity to save is .90.
 - (c) the marginal propensity to save is .20.
 - (d) the marginal propensity to consume is .20.
 - (e) the marginal propensity to save is .50.

True / False (10 marks)

Answer True or False

6. True or False: A rightward shift in the aggregate demand curve is a primary cause of stagflation, leading to increased inflation and output.
7. True or False: Inventors are solely responsible for funding inventions and bringing them to market without the help of innovators.
8. True or False: Disposable income is the amount of personal income that remains after taxes have been paid.
9. True or False: When a nation operates at the natural rate of unemployment, there is no cyclical unemployment present in the economy.
10. True or False: A decrease in the price of aluminum will cause the demand for bicycles to fall due to reduced production costs.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how economic resources are allocated in a capitalist market economy and analyze the role of the central bank in influencing these decisions.
12. Discuss the relationship between patent issuance and monopoly formation, analyzing how patents may influence market dynamics and competition within an economy.

End of Paper